7SSPN231 – Managing the UK Economy

Seminar 6

Instructions:

- *Form pairs*
- *There are 2 parts in the seminar*
- *In each part, you will first spend a few minutes working individually to examine the material and form your own view, and then work in pairs to compare notes, discuss and build a joint answer.*
- *Feel free to look at slides, lecture notes, Wikipedia, etc. if useful.*

Activity 1 (~25 minutes): Incomes policy

Step 1 (Individual – 10 mins): Individually, write down a short explanation (e.g., 1/2 short paragraphs, or structured bullet points) of:

- what is meant by "incomes policy"
- what are in your view its advantages and shortcomings.
- Overall, do you think that incomes policy played a positive or a negative role in the 1960s and 1970s in the UK?

Step 2 (In Pairs – 8 mins): In pairs, compare notes with your partner and discuss what you have written, and especially your views on the pros and cons of incomes policy, and whether it was a good or a bad thing overall.

Step 3 – General discussion – share with the class (~5/7 mins)

Activity 2 (~25 minutes) – the decision not to join the ERM

Step 1 (Individual – 8 mins): Read pages 439 to 446 from "The Chancellors" by Edmund Dell (available on Keats and provided to you as a printed copy), about the 1979 decision not to join the Exchange Rate Mechanism (ERM) of the European Monetary System (EMS). As you read, underline passages that help answer the questions below.

Step 2 (In Pairs – 10 mins): Discuss what you read with your neighbour. In particular:

a. discuss the potential advantages and disadvantages of joining the ERM
b. overall, do you think it was a good decision for the UK to stay out?

Step 3 – General discussion – share with the class (~5/7 mins)